

To be more explicit about what all of this means, we must distinguish between “safe” withdrawal rates and “optimal” withdrawal rates. Previous chapters have discussed how the 4 percent rule may be too high for those focused on identifying a sustainable withdrawal rate that will not deplete the portfolio over a thirty-year period. This does not necessarily forbid the use of a 4 percent or higher withdrawal rate. Retirees may still choose higher withdrawal rates as a part of downplaying the potential impact of investment portfolio depletion.

I was part of a research effort with Michael Finke and Duncan Williams to explore these issues in a March 2012 article in the *Journal of Financial Planning* titled “Spending Flexibility and Safe Withdrawal Rates.” We also investigated withdrawal rates after adding other income sources from outside the retirement portfolio (such as Social Security and pensions). Also, instead of focusing on the traditional objective of worrying only about using a low failure rate, we sought a better balance between the competing trade-offs for wanting to spend and enjoy more while one is still alive and healthy, against not wanting to deplete the investment portfolio and having to rely only on nonportfolio income sources in later retirement. What we call “spending flexibility” shares a lot with what Milevsky and Huang call “longevity risk aversion,” as both concepts are about identifying a willingness to reduce spending if necessary at advanced ages. We also brought asset allocation and randomized investment returns into the mix, seeking to determine both optimal withdrawal rates and optimal asset allocations for different retiree circumstances.

In practical terms, being more longevity risk averse and less flexible with spending means one has a desire to smooth spending over retirement. These retirees care less about increasing spending if markets perform well and instead wish to focus on keeping spending stable if their retirement circumstances combine a long life and a poor sequence of market returns.

We find that people with flexibility about how much they can spend and with more outside sources of income may be willing to accept rather high failure rates as a part of balancing these competing trade-offs. Our study was based on historical US data, which generally leads to a conclusion that 4 percent is a “safe” withdrawal rate because it assumes higher bond yields